cautious in our movement, and undertake cost–benefit analysis at every step of the way. When reorganizing management structures and organization designs in government, there is little role for formal cost–benefit analysis.

Example 18: Why did India build a large public sector after Independence?

There is an interesting connection between these debates and the strategy adopted by India in 1947, to have public sector companies occupying the ‘commanding heights’ of the economy. Numerous public sector companies were then created. Was this an inappropriate attempt at bringing about a revolutionary change? With the benefit of hindsight, we can perhaps understand and interpret the actions of those policymakers.

The key argument perhaps lay in a ‘big push’ that was required to solve the coordination problem in economic development. The early industrialization required a large number of different elements of the economy to come about, and there was a coordination problem. The aluminium factory would not come about as the entrepreneur considering that project could not be convinced that another entrepreneur would surely build an aircraft factory, and vice versa. The big push by the government created a skeleton around which the market economy could get going in an incremental fashion. Key staff persons in most private banks have an employment history in public sector banks. Similarly, Hindustan Aeronautics Limited (HAL) incubated aerospace knowledge in India, and Indian Drugs and Pharmaceuticals Limited (IDPL) alumni laid the foundations of the private Indian drugs industry.

There was possibly a political economy logic in the establishment of public sector undertakings (PSUs) also, in the limited social base of entrepreneurship. In 1947, female literacy was only 6 per cent, and very few people were available to play senior management and entrepreneurial roles. In a purely private entrepreneurship scenario, we can potentially envision